

INTERNAL INVESTMENT MEMORANDUM

Project Nightfall

Valuation of a five-film action and thriller package for a 24-month exclusive U.S. AVOD licence

SELLER ASK

\$2.50M

Fixed fee

BID CEILING

\$2.01M

Base case

TARGET PRICE

\$1.50M

Recommended

Recommendation Acquire only if repriced or restructured

Prepared by Tanmay Srivastava | August 2026 | Draft for discussion

Independent analytical case study using synthetic assumptions. Not based on proprietary company information.

Acquire only if repriced or restructured: the package supports \$2.01M, the ask is \$2.50M

At the ask the Base case loses \$0.47M of NPV and only the Upside clears, by \$0.14M. At the target price the deal earns 20% on a present-value basis.

SELLER ASK	MODELLED BID CEILING	OPENING OFFER	TARGET PRICE
\$2.50M	\$2.01M	\$1.32M	\$1.50M
Fixed fee, 24-month exclusive	Ask is 24.1% above the ceiling	88% of target, leaves room to move	Binding of two pricing tests

Measure	Downside	Base	Upside
NPV at the seller ask of \$2.50M	(\$950K)	(\$468K)	\$137K
NPV at the target price of \$1.50M	\$15K	\$496K	\$1,101K
ROI at the target price	0.6%	20.0%	44.0%

- The target price is the more binding of two independent tests: the fee at which the Downside is break-even (\$1.51M) and the fee at which the Base case earns 20% (\$1.50M). They converge within 1.1%.
- Two of the five titles do not cover their allocated fee, and three are loss-making in the Downside. The package is worth buying for three titles, not five.

PREFERRED STRUCTURE

Performance fee with earn-outs

- \$850K base fee on delivery, plus three earn-out tranches of \$250K, \$250K and \$300K tied to cumulative viewing hours.
- Base-case cost \$1.35M against \$1.50M for a fixed fee, and a maximum of \$1.65M if every threshold is met.
- Downside NPV of \$0.62M against \$0.02M on a fixed fee. The earn-out absorbs 90% of the fixed-fee downside exposure.

Walk away above \$2.01M. Payback under the preferred structure falls in month 6 of the 24-month term.

All figures are present values discounted at a 12% annual required return. ROI is stated on a present-value basis for benefits and costs.

The ask requires 17.4% more viewing than the Base forecast before it earns a 12% return

Question: should the platform acquire Project Nightfall, on what structure, and what is the maximum supportable bid?

Deal term	Detail
Package	Five action and thriller features, released 2018 to 2023
Rights	U.S. exclusive AVOD, all devices, no linear or FAST carve-out
Term	24 months from delivery. No renewal or terminal value modelled
Asking price	\$2.50M fixed fee, 50% on delivery and 50% at month 7
Marketing support	\$525K across the package, 80% spent in the first two months
Delivery and QC	\$240K one-off, incurred at delivery
Variable serving	\$0.019 per viewing hour, \$303K across the term

CRITICAL ASSUMPTIONS, WEIGHTED ACROSS THE PACKAGE

Driver	Package weighted	Range across titles
Completion rate	58.9%	45% to 64%
Incrementality rate	57.4%	40% to 62%
Ad fill rate	80.1%	75% to 82%
Net advertising CPM	\$23.87	\$19.50 to \$25.50
Monthly viewing decay	12.5%	11.5% to 15.0%

WHAT HAS TO BE TRUE FOR THE ASK TO CREATE VALUE

- Viewing must reach 18.75M hours against a Base forecast of 15.97M, an uplift of 17.4%.
- Or the weighted-average net CPM must hold at \$28.18 against a Base assumption of \$23.87.
- Or incrementality must sit materially above the 57.4% package-level rate, which no holdout test currently supports.
- None of the three is established by the seller's materials. The package is priced on gross viewing, not on incremental value to the platform.

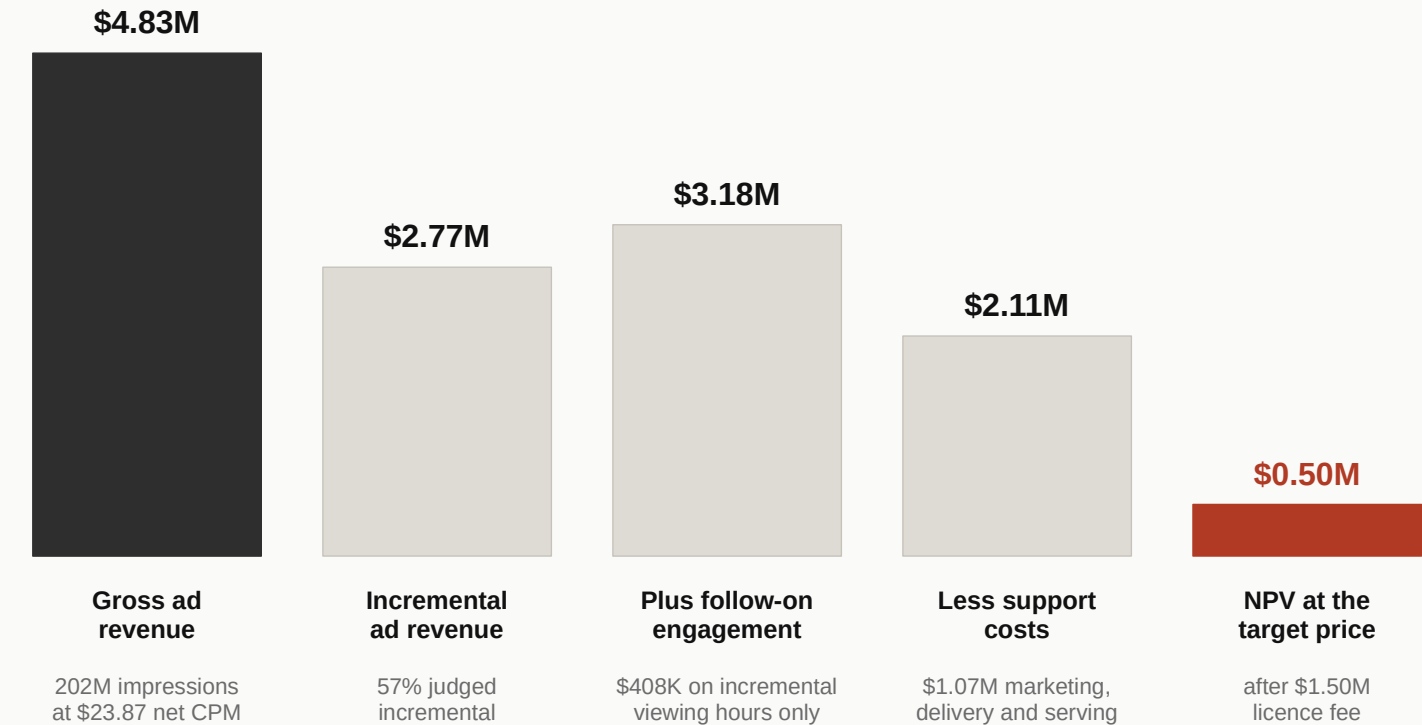
WHERE THE VALUE IS ACTUALLY DECIDED

Three drivers the seller does not control set the outcome: how much of this viewing is incremental, how quickly it decays, and what the inventory sells for. The first is an assumption, not a measurement. Sections 4 and 7 test how far each can move before the recommendation changes.

Illustrative deal terms constructed for this case study. Drivers are weighted by projected viewers, except incrementality, which is stated as incremental advertising revenue divided by gross advertising revenue.

\$4.83M of gross ad revenue converts to \$2.11M of contribution before any licence fee

Base scenario. Each step is a modelled conversion, not an assumption applied to the previous total.



QUANTIFIED IN THE MODEL

- Directly attributable: advertising revenue against viewing of these five titles, \$4.83M.
- Modelled incremental: the 57% of that revenue judged additive rather than displaced, plus \$408K of follow-on engagement value earned on incremental hours only.

NOT QUANTIFIED

- Genre coverage in an under-supplied action slot.
- Merchandising value in seasonal collections.
- Negotiating precedent with this distributor.
- Retention and audience acquisition are deliberately excluded. Counting them alongside incremental advertising revenue would double count the same viewing.

Viewing hours 15.97M = unique viewers 11.65M x starts per viewer x runtime x completion rate / 60. Impressions = viewing hours x ad opportunities per hour x fill rate.

Two titles generate 79% of contribution before licence fees; two fail to cover their allocated fees

Base scenario, allocated at the target price of \$1.50M. Allocation follows the negotiated share, not contribution.

Title	Tier	Viewing hours	Incremental ad revenue	Allocated fee	Contribution after fee	Title ROI	Confidence / risk	Role
Nightfall Protocol	Tier 1	5.89M	\$1,222K	\$480K	\$572K	65%	High / Low	Anchor
Ash Ridge	Tier 2	4.31M	\$777K	\$390K	\$236K	32%	High / Low	Anchor
Cold Harbor	Tier 2	3.13M	\$491K	\$300K	\$63K	9%	Medium / Medium	Supporting
The Quiet Depth	Tier 3	1.97M	\$224K	\$195K	(\$83K)	(26%)	Medium / Medium	Filler
Vector Nine	Tier 4	0.68M	\$60K	\$135K	(\$174K)	(71%)	Low / High	Dilutive
Portfolio		15.97M	\$2,773K	\$1,499K	\$614K	20%		

VALUE CREATORS

Nightfall Protocol and Ash Ridge carry the package. Together they deliver \$1,677K of contribution before fee against \$869K of allocated cost, and remain positive in the Downside.

VALUE DESTROYERS

Vector Nine is negative before any licence fee at (\$39K): its support costs exceed its incremental revenue. The Quiet Depth covers its costs but not its \$195K allocation.

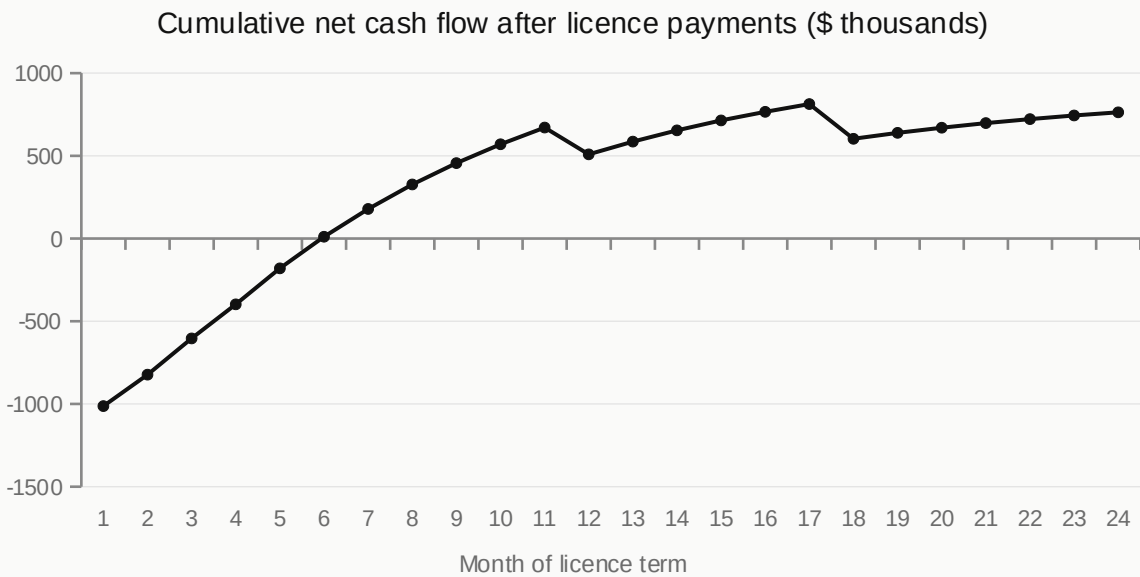
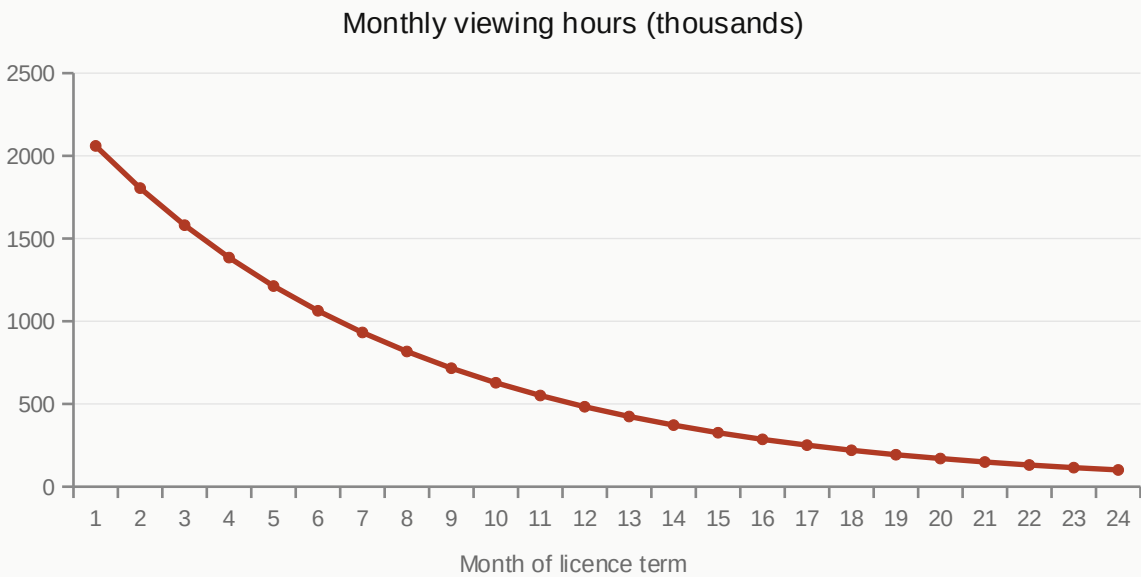
IMPLICATION FOR THE NEGOTIATION

The two weakest titles absorb 22% of the fee and return (\$256K). Ask for them to be dropped, or price the package as three titles plus a free tail.

Title ROI compares present-value benefits with present-value support costs and the allocated licence fee. The allocation is a commercial convention and does not change portfolio economics.

72% of the package's viewing lands in the first nine months; payback falls in month 6

Base scenario under the preferred earn-out structure. The licence expires at month 24 with no terminal value.



PAYBACK	VIEWING IN FIRST 12 MONTHS	VALUE CONCENTRATION	EARN-OUT STEPS
Month 6	83%	50%	\$250K / \$250K
Cumulative cash flow turns positive and stays positive	Front-loaded decay concentrates recovery	Share of contribution from the single largest title	Paid at months 12 and 18 only if viewing thresholds are met

Only the Upside clears the ask, by \$0.14M. The Base case loses \$0.47M at \$2.50M.

Scenarios move seven operating drivers. No output is overridden.

Portfolio outcome	Downside	Base	Upside
Viewing hours	14.53M	15.97M	17.92M
Gross advertising revenue	\$4.13M	\$4.83M	\$5.72M
Incremental advertising revenue	\$2.30M	\$2.77M	\$3.39M
Contribution before licence fee	\$1.59M	\$2.11M	\$2.77M
Bid ceiling at a 12% return	\$1.51M	\$2.01M	\$2.64M
NPV at the \$2.50M ask	(\$950K)	(\$468K)	\$137K

BREAK-EVEN REQUIREMENTS

Requirement	At target \$1.50M	At ask \$2.50M
Break-even viewing hours	13.03M	18.75M
Against a Base forecast of 15.97M	18.4% headroom	+17.4% required
Break-even weighted-average net CPM	\$19.31	\$28.18
Against a Base assumption of \$23.87	19.1% cushion	+18.0%

PORTFOLIO NPV AT THE TARGET PRICE, BY VIEWING AND NET CPM

Viewing vs Base	85% CPM	90% CPM	100% CPM	110% CPM	115% CPM
85%	(\$239K)	(\$128K)	\$92K	\$313K	\$423K
95%	(\$8K)	\$115K	\$362K	\$608K	\$732K
100%	\$107K	\$237K	\$496K	\$756K	\$886K
105%	\$222K	\$359K	\$631K	\$904K	\$1,040K
115%	\$453K	\$602K	\$901K	\$1,199K	\$1,348K

MAXIMUM SUPPORTABLE LICENCE FEE

Scenario	Bid ceiling	Versus the ask
Downside	\$1.51M	(39.4%)
Base	\$2.01M	(19.4%)
Upside	\$2.64M	+5.7%

Even the Upside ceiling of \$2.64M sits only 5.7% above the ask, so the seller's price leaves the buyer no return for taking the risk.

Sensitivity grids scale the Base monthly profile uniformly and hold the shape of the decay curve constant. Shaded cells are negative NPV at the target price.

Open at \$1.32M on an earn-out structure, target \$1.50M, walk away above \$2.01M

Recommendation: acquire only if repriced or restructured.

Deal structure	Base cost	Base NPV	Downside NPV	Downside exposure	Payback	Complexity
A. Fixed licence fee	\$1.50M	\$496K	\$15K	\$481K	11 months	Low
B. Guarantee plus revenue share	\$1.35M	\$648K	\$340K	\$307K	7 months	High
C. Performance fee with earn-outs	\$1.35M	\$664K	\$617K	\$47K	6 months	Moderate

NEGOTIATION LADDER

- Open: \$850K base fee plus earn-outs, an expected \$1.35M in the Base case.
- Target: \$1.50M all-in, the more binding of the downside break-even (\$1.51M) and the 20% ROI test (\$1.50M).
- Walk away: above \$2.01M, where the Base case stops earning 12%.
- Fallback: Structure B, capping total payments at the walk-away ceiling.

EARN-OUT TRIGGERS

- \$250K if cumulative viewing reaches 12.75M hours by month 12.
- \$250K if it reaches 14.50M hours by month 18.
- \$300K if it reaches 17.00M hours by month 24, above the Base forecast of 15.97M.
- Maximum total \$1.65M, still 18.1% below the walk-away ceiling.

CONDITIONS THAT WOULD CHANGE THIS

- A holdout test showing incrementality above 70% would lift the ceiling toward the ask.
- Dropping the two weakest titles for a proportionate price cut improves portfolio ROI without changing the anchors.
- A 36-month term at the same price would be assessed on its own forecast, not this one.
- Non-exclusive rights at the same price would reduce the ceiling further.

Required diligence before signature: viewing definitions and audit rights for the earn-out tests, chain of title and delivery specifications for all five titles, confirmation that no FAST or linear window overlaps the term, and a platform holdout test to replace the incrementality assumption.

APPENDIX

A Detailed title assumptions

B Formula methodology and deal mechanics

C Quality control results

D Limitations and diligence

Detailed title assumptions

All values are illustrative and constructed for this case study. None of them are observed market data.

Assumption	Nightfall Protocol	Ash Ridge	Cold Harbor	The Quiet Depth	Vector Nine
Genre and subgenre	Action, Special-ops thriller	Action, Survival action	Thriller, Espionage thriller	Thriller, Submarine thriller	Thriller, Cyber thriller
Release year and runtime	2021, 118 min	2022, 112 min	2019, 106 min	2018, 124 min	2023, 99 min
Comparable-performance tier	Tier 1 - Wide theatrical	Tier 2 - Limited theatrical	Tier 2 - Limited theatrical	Tier 3 - Direct to streaming	Tier 4 - Festival / niche
Projected unique viewers (lifetime)	3,600,000	3,050,000	2,500,000	1,650,000	850,000
Starts per viewer	1.30	1.24	1.20	1.13	1.08
Completion rate	64.0%	61.0%	59.0%	51.0%	45.0%
Monthly viewing decay	11.5%	12.0%	12.8%	14.0%	15.0%
Ad opportunities per hour	16.0	16.0	15.5	15.0	15.0
Ad fill rate	82.0%	81.0%	80.0%	77.0%	75.0%
Net advertising CPM	\$25.50	\$24.00	\$23.00	\$21.00	\$19.50
Incrementality rate	62.0%	58.0%	55.0%	47.0%	40.0%
Marketing support	\$165K	\$130K	\$100K	\$72K	\$58K
Delivery, localisation and QC	\$58K	\$52K	\$46K	\$44K	\$40K
Allocated licence fee share	32%	26%	20%	13%	9%

Global assumptions: required return 12% a year, follow-on engagement value \$0.045 per incremental viewing hour, variable serving cost \$0.019 per viewing hour, marketing profile 55 / 25 / 12 / 8 across the first four months.

Formula methodology and deal-structure mechanics

VALUATION CHAIN

Viewing hours = unique viewers x starts per viewer x runtime x completion rate / 60

Monetised impressions = viewing hours x ad opportunities per hour x fill rate

Advertising revenue = monetised impressions / 1,000 x net CPM

Incremental advertising revenue = advertising revenue x incrementality rate

Contribution before fee = incremental ad revenue + follow-on engagement value less marketing, delivery and QC, and variable serving costs

Contribution after fee = contribution before fee less the allocated licence fee

NPV = discounted monthly incremental cash flows over the 24-month term

Portfolio ROI = (PV of benefits less PV of acquisition and support costs) / PV of acquisition and support costs

Bid ceiling = PV of contribution before fee / PV factor on one dollar of fee (0.963)

MONTHLY VIEWING CURVE

Month-1 viewers are derived by dividing lifetime projected viewers by the geometric sum of the base decay curve. Monthly viewers then decline at the scenario decay rate. A steeper decay therefore reduces total viewing as well as shifting its timing, which is why the decay rate is a scenario driver rather than a timing convention.

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DEAL-STRUCTURE MECHANICS

- A. Fixed licence fee. 50% on delivery, 50% at month 7. Total cost is independent of performance, so the buyer carries all of the viewing risk.
- B. Guarantee plus revenue share. \$950K minimum guarantee at delivery, creditable against a 28% share of attributable gross advertising revenue. The buyer pays more only once cumulative share exceeds the guarantee.
- C. Performance fee with earn-outs. \$850K base fee at delivery, plus \$250K at month 12, \$250K at month 18 and \$300K at month 24, each payable only if cumulative viewing hours pass a stated threshold.
- All structures use the same underlying content-performance forecast. Their contractual mechanics determine the resulting cost, return and downside exposure.

AVOIDING DOUBLE COUNTING

Retention, follow-on viewing and audience acquisition are not valued separately. The only benefit recognised beyond attributable advertising revenue is the follow-on engagement value, and it is applied to incremental viewing hours alone. Counting a retention effect on top of that would value the same hour of viewing twice.

Quality control and reconciliation results

All 14 automated reconciliation controls pass in the delivered workbook.

#	Control	Result
1	Title licence allocations tie to the package fee	PASS
2	Monthly viewing ties to lifetime viewing	PASS
3	Viewing hours tie to title-level totals	PASS
4	Impressions reconcile to hours, ad load and fill	PASS
5	Advertising revenue reconciles to impressions and CPM	PASS
6	Portfolio contribution ties to title-level contribution	PASS
7	Scenario outputs respond to the selector	PASS

#	Control	Result
8	Completion and fill rates never exceed 100%	PASS
9	No negative viewers, hours, CPMs or revenue	PASS
10	Deal payments follow their contractual formulas	PASS
11	NPV and ROI use consistent cash-flow timing	PASS
12	Executive summary ties to the underlying model	PASS
13	Selected headline presentation figures tie to the model	PASS
14	Marketing spend profile sums to 100%	PASS

Break test: the ad fill rate on Nightfall Protocol was set to 130%, the completion rate on Cold Harbor to 115%, and the licence allocation on Ash Ridge raised so that allocations summed to 108%. Controls 1 and 8 returned FAIL and the overall status changed to CONTROL FAILURE. The inputs were restored and all fourteen controls returned to PASS. Every figure in this presentation is read from the reconciled workbook.

Controls are stated as absolute differences in dollars, hours or rate points against a stated tolerance. Tolerances above zero absorb floating-point rounding only. The scenario selector control confirms that changing the scenario propagates through every downstream sheet rather than only the summary.

Limitations, diligence questions and information required

LIMITATIONS

- Every assumption is synthetic. None is observed market data.
- No terminal or renewal value. The licence expires at month 24.
- Unique viewers are modelled per title; audience overlap between titles is not deducted from portfolio reach.
- Incrementality is an input judgement, not an estimate from a holdout test.
- Sensitivity grids scale the Base profile uniformly and hold the decay shape constant.
- No allocation of platform overhead, ad sales headcount or technology cost.

DILIGENCE QUESTIONS FOR THE SELLER

- What U.S. AVOD and FAST exposure have these titles had in the last 36 months, and on which services?
- Are dubbed and subtitled assets, and closed captions, delivered at no additional cost?
- Is chain of title clean for all five titles, including music and stock footage?
- Does any linear, transactional or FAST window overlap the 24-month term?
- Would the distributor accept removal of the two weakest titles at a proportionate price reduction?

REQUIRED BEFORE A REAL DECISION

- A platform holdout test to replace the incrementality assumption with a measured estimate.
- Observed decay curves for comparable licensed action titles on the service.
- Sell-side confirmation of achievable fill rate and net CPM for this inventory.
- Agreed definitions and audit rights for the viewing measures used in the earn-out tests.
- Cost of marketing support confirmed by the campaign team rather than assumed.

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